SET 1 · Money, Banking, and Financial Institutions

Banks, credit unions, and what they do

MAIN skill: Explain what banks and credit unions do with deposits and loans

Outcome FL.BANK.01 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Financial institutions: role of banks and credit unions; insured deposit accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Deposits, withdrawals, and loans (5 questions)
  - Why: The MAIN questions describe what institutions do with deposits and loans; students who mix up these three words cannot follow them.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Online banks, apps, and partner banks (5 questions)
- Go Deeper 2: Comparing financial institutions (5 questions)

Practical skills beyond the standards: Fintech apps and partner banks

Content status: time-sensitive

- Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category. https://www.fdic.gov/resources/deposit-insurance
- Source: NCUA — Credit union share insurance covers up to $250,000 per member, per insured credit union, for each ownership category. https://ncua.gov/consumers/share-insurance-coverage

MAIN — Explain what banks and credit unions do with deposits and loans

Question 1 of 5 · Learn and Apply

LEARN

A bank is a business that accepts deposits (money people put in accounts) and makes loans (money it lends and expects to be paid back with interest). Banks keep only part of their deposits as cash and lend much of the rest. The interest borrowers pay helps the bank pay its costs, earn a profit, and pay interest to savers.

Maya deposits $500 of her summer earnings at a bank. What does the bank usually do with much of the money while it sits in her account?

A. Lends part of it to other customers, such as car buyers or businesses

B. Keeps her exact bills in a locked box with her name on it

C. Sends it to the government until she withdraws it

D. Invests it in the stock market for Maya, who receives the gains

MAIN — Explain what banks and credit unions do with deposits and loans

Question 2 of 5 · Learn and Apply

LEARN

A credit union offers many of the same services as a bank: checking and savings accounts, debit cards, and loans. The difference is ownership. A credit union is a not-for-profit cooperative owned by its members, who are its account holders. To join, you must meet its membership rules, such as living in an area, working for an employer, or belonging to a group.

Which statement best describes a credit union?

A. A government office that issues credit cards

B. A company that only sells stocks and bonds

C. A bank owned by outside shareholders who are not customers

D. A not-for-profit financial cooperative owned by its members

MAIN — Explain what banks and credit unions do with deposits and loans

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Every credit union has a "field of membership": the group of people it is allowed to serve. It might be employees of certain companies, people who live or work in a county, or members of an organization. Family members of current members can often join too. Some credit unions let almost anyone join by first joining a partner organization.

Jordan wants to join Riverside Teachers Credit Union, but Jordan is not a teacher and has no family member who works in a school. What is the most likely obstacle?

A. Credit unions do not offer checking accounts

B. Jordan must buy stock in the credit union on a stock exchange

C. Jordan may not meet the credit union's membership rules

D. Credit unions only accept customers who already have a credit card

MAIN — Explain what banks and credit unions do with deposits and loans

Question 4 of 5 · Learn and Apply

LEARN

Banks come in different types. National and regional banks are large and have many branches. Community banks are smaller and local. Online banks have no branches; customers use an app, a website, ATMs, and mobile deposit. Deposits at federally insured banks are protected by the FDIC, and deposits at federally insured credit unions by the NCUA, up to legal limits.

A city has a large national bank, a local community bank, a credit union, and an online-only bank. Which feature is TRUE of all four kinds of institutions?

A. They can offer deposit accounts that are federally insured up to legal limits

B. They are all owned by their customers

C. They all have branches where you can deposit cash in person

D. They all guarantee a profit on money you invest with them

MAIN — Explain what banks and credit unions do with deposits and loans

Question 5 of 5 · Knowledge Check

Priya keeps $1,200 in cash in a shoebox. Which risk would a federally insured bank account reduce?

A. The money buying less in the future because prices rise

B. Losing the money to a fire or theft at home

C. Having to pay sales tax when she spends the money

D. Spending the money on things she does not need

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 1 of 5 · Learn and Apply

LEARN

A deposit is money you put into an account. A withdrawal is money you take out. A loan is money a lender gives you that you must pay back, usually with interest.

Aiden puts $40 into his savings account. What is this called?

A. A withdrawal

B. A loan

C. A fee

D. A deposit

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 2 of 5 · Learn and Apply

LEARN

When you take money out of your own account, by cash at an ATM, a debit card purchase, or a check, it is a withdrawal. The money was already yours.

Sofia takes $60 in cash out of her checking account at an ATM. What is this called?

A. A withdrawal

B. A deposit

C. A loan from the ATM company

D. Interest

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 3 of 5 · Learn and Apply

LEARN

A loan is borrowed money. The borrower promises to repay the amount borrowed, called the principal, plus interest, which is the price of borrowing.

A bank gives Luis $8,000 to buy a used car, and Luis agrees to pay it back over four years with interest. What did Luis receive?

A. A deposit

B. A gift from the bank

C. A loan

D. A withdrawal from his savings

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 4 of 5 · Learn and Apply

LEARN

Interest works in two directions. A borrower pays interest to a lender for using the lender's money. A saver earns interest from a bank, because the bank uses the saver's deposits to make loans.

Which choice describes interest from a SAVER'S point of view?

A. Money you pay the bank to keep your account open

B. Money the bank pays you for keeping your money in an account

C. The amount you first deposited

D. A tax on savings accounts

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 5 of 5 · Knowledge Check

Why can a bank afford to pay interest to savers?

A. The government pays the interest for every account

B. It charges savers a fee equal to the interest

C. It charges borrowers a higher interest rate than it pays savers

D. It prints new money to pay interest

GO DEEPER 1 — Online banks, apps, and partner banks

Question 1 of 5 · Learn and Apply

LEARN

Many apps that hold money are not banks. They are financial technology ("fintech") companies that partner with a bank. Money may be FDIC insured only if it is actually deposited at the partner bank in the customer's name and the records are kept properly. If the fintech company itself fails, getting access to money can take time.

A payment app advertises "bank-level" accounts. Its fine print says, "We are a financial technology company, not a bank. Banking services are provided by Harbor Bank, Member FDIC." What does this mean?

A. The app company is an FDIC-insured bank

B. No money in the app can ever be insured

C. Harbor Bank guarantees the app company's profits

D. Harbor Bank holds the deposits; the app company itself is not a bank

GO DEEPER 1 — Online banks, apps, and partner banks

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Deposit insurance covers money in deposit accounts at insured banks. A balance kept in a payment app may not be a bank deposit at all, depending on how the app holds it. The app's terms explain where the money is held.

Which question is MOST useful to ask before keeping a large balance in a payment app?

A. Is my balance held at an FDIC-insured bank in my name?

B. How many users does the app have?

C. Does the app have a nice design?

D. Can I send money to friends instantly?

GO DEEPER 1 — Online banks, apps, and partner banks

Question 3 of 5 · Learn and Apply

LEARN

Online banks often pay higher savings rates and charge fewer fees because they have no branches to run. The trade-off is access: depositing cash can be hard or impossible, and help is by phone or chat. The best choice depends on how you use your money.

An online bank pays 4.0% on savings and charges no monthly fee, but it has no branches. A local bank pays 0.5% and has a branch near Ana's job. Ana is paid in cash tips each night. Which drawback of the online bank matters MOST for Ana?

A. The online bank's savings rate is too high

B. Online banks cannot offer debit cards

C. Depositing cash may be difficult without a branch

D. Online banks are never insured

GO DEEPER 1 — Online banks, apps, and partner banks

Question 4 of 5 · Knowledge Check

A bank's website shows the FDIC logo. What does this tell a customer?

A. The bank's stock price is guaranteed

B. The bank's deposit accounts are insured by the FDIC up to the legal limit

C. Every product the bank sells is insured, including investments

D. The bank charges no fees

GO DEEPER 1 — Online banks, apps, and partner banks

Question 5 of 5 · Knowledge Check

Which situation shows the main risk of keeping money with a non-bank app?

A. The partner bank pays interest every month

B. The app sends a monthly statement

C. The customer uses the app's debit card at a store

D. The app company fails and customers wait months to reach their money

GO DEEPER 2 — Comparing financial institutions

Question 1 of 5 · Learn and Apply

LEARN

Fees add up. A monthly fee costs 12 times that amount in a year. Many banks waive a monthly fee if you meet a condition, such as a minimum balance or a direct deposit. If you will not meet the condition, plan to pay the fee.

Two banks are similar except: Bank A charges a $12 monthly fee unless the balance stays above $1,500; Bank B charges no monthly fee. Kai usually keeps about $400 in checking. How much more would Bank A cost Kai per year?

A. $0

B. $12

C. $48

D. $144

GO DEEPER 2 — Comparing financial institutions

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

When comparing institutions, start with how you will use the account: fees, ATM access, branch or app access, minimum balances, and the savings rate. A feature that matters to one person may not matter to another.

Which comparison is MOST important for a student who will make frequent ATM withdrawals?

A. How many fee-free ATMs are near home and school

B. Whether the bank sponsors a sports team

C. The color of the debit card

D. The bank's auto loan rate

GO DEEPER 2 — Comparing financial institutions

Question 3 of 5 · Learn and Apply

LEARN

To compare savings rates, find the interest each account pays. For one year, interest ≈ balance × rate (with the rate written as a decimal). Then subtract.

A credit union and a bank both offer free checking. The credit union pays 2.5% on savings; the bank pays 0.1%. On a $2,000 savings balance for one year (simple interest), how much more would the credit union pay?

A. $2

B. $4.80

C. $48

D. $50

GO DEEPER 2 — Comparing financial institutions

Question 4 of 5 · Knowledge Check · Practical how-to

Which document lists every fee an account can charge, such as overdraft, wire, and paper statement fees?

A. The bank's home page advertisement

B. A monthly statement from last year

C. The account's fee schedule

D. The debit card itself

GO DEEPER 2 — Comparing financial institutions

Question 5 of 5 · Knowledge Check

Leo picks a bank only because it gave him a $200 bonus for opening an account. Six months later he notices $15 monthly fees. What step did he skip?

A. Reading the fee conditions before choosing

B. Asking for a larger bonus

C. Opening the account online

D. Getting a credit card first

SET 2 · Money, Banking, and Financial Institutions

Checking accounts and debit cards

MAIN skill: Use a checking account and debit card and track the available balance

Outcome FL.BANK.02 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods: compare debit cards, credit cards, and other payment methods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Debit versus credit (5 questions)
  Why: The MAIN skill assumes students know that a debit card spends their own money and a credit card borrows; this is the most common confusion.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Every balance question subtracts amounts in dollars and cents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Deposits are added to the balance in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: ATM networks and fees (5 questions)
- Go Deeper 2: Pending transactions, available balance, and posting (5 questions)

Practical skills beyond the standards: Holds, pending transactions, available balance

Content status: time-sensitive

Source: CFPB (Regulation E) — Liability limits for unauthorized electronic transfers: $50 if reported within 2 business days of learning of a lost card, up to $500 after that, and possibly more after 60 days from the statement. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

MAIN — Use a checking account and debit card and track the available balance

Question 1 of 5 · Learn and Apply

LEARN

A checking account is a bank or credit union account for everyday money: receiving pay, paying bills, buying things with a debit card, and writing checks. Checking accounts usually pay little or no interest. Money you are setting aside for later usually goes in a savings account.

Tia's paycheck is deposited into her checking account. Which use is a checking account designed for?

A. Earning high interest on long-term savings

B. Buying shares of stock

C. Borrowing money for a car

D. Paying rent, bills, and everyday purchases

MAIN — Use a checking account and debit card and track the available balance

Question 2 of 5 · Learn and Apply

LEARN

A debit card is linked to your checking account. When you pay with it, the money comes out of your account, usually within a day or two. A credit card is different: the card company lends you the money, and you pay it back later.

Noah buys groceries for $46.30 with his debit card. Where does the money come from?

A. From a loan that Noah repays next month

B. Directly from Noah's checking account

C. From the store's bank account

D. From Noah's savings account automatically, every time

MAIN — Use a checking account and debit card and track the available balance

Question 3 of 5 · Learn and Apply

LEARN

Your balance is the money in your account. Each withdrawal, debit card purchase, or bill payment is subtracted; each deposit is added. Keeping a running balance helps you avoid spending money you do not have.

Ella's checking balance is $312.40. She pays a $95.25 phone bill and makes a $40.00 ATM withdrawal. What is her new balance?

A. $177.15

B. $217.15

C. $272.40

D. $447.65

MAIN — Use a checking account and debit card and track the available balance

Question 4 of 5 · Learn and Apply

LEARN

Some merchants, such as gas stations, hotels, and car rentals, place a temporary "hold" on a debit card before they know the final amount. The hold lowers your AVAILABLE balance (what you can spend now) until the final charge posts and the extra is released, often within a few days.

At a gas pump, Sam's debit card is approved, and the bank places a $100 hold, even though Sam pumps only $38 of gas. What is the effect until the hold is released?

A. Sam is charged $100 permanently

B. Sam's account balance goes up by $62

C. Nothing changes, because holds only apply to credit cards

D. Sam's available balance is $100 lower for a short time

MAIN — Use a checking account and debit card and track the available balance

Question 5 of 5 · Knowledge Check

A thief steals Ava's wallet and uses both her debit card and her credit card. Which card generally gives her stronger legal protection against the thief's charges?

A. The debit card, because it spends her own money

B. The credit card

C. The debit card, because banks must refund theft the same day

D. Both cards always have identical protection

BACKWARD B1 · concept review — Debit versus credit

Question 1 of 5 · Learn and Apply

LEARN

"Debit" means taking money out of your account. A debit card takes money from your checking account. "Credit" means borrowing: a credit card company pays the store, and you owe the card company.

Which card spends money that is ALREADY in your bank account?

A. A debit card

B. A credit card

C. A store gift card from a friend

D. A library card

BACKWARD B1 · concept review — Debit versus credit

Question 2 of 5 · Learn and Apply

LEARN

With a credit card, the card company pays the merchant for you. The amount is added to your card balance, which is a debt you must pay back. If you do not pay the full balance by the due date, you may owe interest.

Owen pays for a $25 meal with a credit card. Who pays the restaurant first?

A. Owen's checking account, immediately

B. The restaurant pays itself

C. The credit card company, and Owen owes it $25

D. Nobody pays until Owen gets a bill

BACKWARD B1 · concept review — Debit versus credit

Question 3 of 5 · Learn and Apply

LEARN

A debit card can only spend the money in your account. If a purchase is larger than your balance, the bank may decline it. If you opted in to overdraft coverage, the bank may pay it and charge an overdraft fee.

What happens if you try to spend more with a debit card than your account holds?

A. The extra amount becomes a free gift

B. The purchase is declined, or the bank may cover it and charge an overdraft fee

C. The store lowers the price to your balance

D. Your credit card is charged automatically, every time

BACKWARD B1 · concept review — Debit versus credit

Question 4 of 5 · Knowledge Check

Which statement is TRUE?

A. Using a credit card creates a debt; using a debit card does not

B. Using a debit card creates a debt; using a credit card does not

C. Both cards always create a debt

D. Neither card is ever connected to money you owe

BACKWARD B1 · concept review — Debit versus credit

Question 5 of 5 · Learn and Apply

LEARN

If you do not opt in to overdraft coverage, a bank generally cannot charge you an overdraft fee for an ATM withdrawal or a one-time debit card purchase; instead the purchase is declined. A credit card lets you borrow up to a credit limit, which is not your money.

Mia wants a card that will stop her from spending more than she has. Which card fits that goal better?

A. A credit card with a high limit

B. A credit card used only for big purchases

C. Any card, because cards cannot be overspent

D. A debit card with overdraft coverage turned off

GO DEEPER 1 — ATM networks and fees

Question 1 of 5 · Learn and Apply

LEARN

An ATM network is a group of machines your bank lets you use without a fee. At an "out-of-network" ATM you can be charged twice: once by your own bank and once by the ATM's owner (a "surcharge").

Rosa uses an out-of-network ATM. Her bank charges $2.50 and the ATM owner charges $3.00. She withdraws $40. How much leaves her account in total?

A. $40.00

B. $42.50

C. $43.00

D. $45.50

GO DEEPER 1 — ATM networks and fees

Question 2 of 5 · Learn and Apply

LEARN

Small fees repeated often add up. Multiply the fee per use by the number of uses in a year.

Rosa makes that same kind of out-of-network withdrawal twice a week. About how much does she pay in ATM fees in a year (52 weeks)?

A. $5.50

B. $286

C. $572

D. $4,732

GO DEEPER 1 — ATM networks and fees

Question 3 of 5 · Knowledge Check · Practical how-to

Which choice would cut Rosa's ATM fees the MOST?

A. Withdraw $20 each time instead of $40

B. Use a different out-of-network ATM each time

C. Withdraw cash at in-network ATMs or get cash back with a debit purchase

D. Check her balance at the ATM before each withdrawal

GO DEEPER 1 — ATM networks and fees

Question 4 of 5 · Learn and Apply

LEARN

Some accounts refund ATM fees up to a monthly limit. The refund lowers what you pay, but only up to that limit.

A bank refunds up to $10 of other banks' ATM fees each month. Rosa pays $22 in out-of-network fees this month. How much does she pay after the refund?

A. $10

B. $12

C. $22

D. $32

GO DEEPER 1 — ATM networks and fees

Question 5 of 5 · Knowledge Check

Which statement about an ATM "balance inquiry" at an out-of-network machine is MOST accurate?

A. It is always free everywhere

B. It moves money to savings

C. It counts as a deposit

D. It can carry a fee even though no money is withdrawn

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 1 of 5 · Learn and Apply

LEARN

A transaction is "pending" when the bank knows about it but has not finished processing it ("posting" it). Your available balance is the money you can spend now: roughly your posted balance minus pending charges and holds. Spending based on the larger number can cause overdrafts.

Kim's app shows: current balance $250; pending transactions −$80. What is her available balance?

A. $80

B. $170

C. $250

D. $330

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 2 of 5 · Learn and Apply

LEARN

Bank apps show what the bank knows. A check you wrote that the payee has not cashed yet does not appear at all. Your own record of payments, called a register, catches those.

Which balance should Kim use to decide whether she can afford a $150 purchase today?

A. The highest balance she had this month

B. Her balance from last month's statement

C. Her available balance, adjusted for checks she has written that have not cleared

D. Her current balance, ignoring pending items

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 3 of 5 · Learn and Apply

LEARN

When you deposit a check, the bank may "hold" part of the money until the check clears. Federal rules set the maximum hold times, and the bank must tell you when the money will be available.

Ben deposits a $600 check on Monday. The bank says $225 is available Tuesday and the rest Thursday. How much can Ben safely spend from this deposit on Tuesday?

A. $0

B. $225

C. $375

D. $600

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 4 of 5 · Knowledge Check

If a deposited check "bounces" (is returned unpaid) after you spent the money, what usually happens?

A. The bank takes the amount back from your account, possibly with a fee

B. The bank keeps paying because the money was available

C. The person who wrote the check pays your fee

D. Nothing, because the deposit was already posted

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 5 of 5 · Knowledge Check · Practical how-to

Which habit best prevents spending based on the wrong balance?

A. Checking the balance once a month

B. Recording each purchase and check in a register or app as you make it

C. Using only the current balance on the bank app

D. Keeping your PIN on the card